

Cogent Communications

Tier-1 IP backbone; a levered asset-monetisation situation

CCOI : NASDAQ | Communications Infrastructure

1 EXECUTIVE SUMMARY

Cogent sits at the wholesale transport layer of the internet. It is one of a small number of Tier-1 Internet Protocol (IP) backbones — networks that can reach every destination on the public internet without paying any other carrier for transit. Cogent's customers are the layer above it: content producers, content delivery networks, cloud and AI compute operators, access networks, and the enterprises inside its 3,627 on-net buildings. It sells four things off one fibre plant: shared IP transit, dedicated optical wavelengths, leased IPv4 addresses, and colocation space. In May 2023 it acquired Sprint's US long-haul wireline business from T-Mobile for one dollar plus a US\$700m services contract, which converted Cogent from a leased-fibre reseller into an owner of 21,883 intercity route miles — and simultaneously converted it into a highly levered company.

The core thesis is that CCOI is no longer a growth story and should not be underwritten as one; it is a balance-sheet and asset-monetisation situation with a dated cash cliff. Headline adjusted EBITDA of US\$291.8m over the trailing twelve months includes US\$100m of contractual payments from T-Mobile that stop by contract in late 2027 — strip them out and reported EBITDA is US\$191.8m, and net leverage is roughly 10.3x rather than the 6.23x management reports. Between now and that cliff, management must refinance US\$750m of 2027 unsecured notes, monetise the remaining 14 former Sprint data centres, and grow organic EBITDA enough to replace the subsidy — while the two growth engines, wavelengths and IPv4 leasing, together generate only US\$33m per quarter. With an equity value of roughly US\$0.5-0.7bn sitting beneath US\$2.34bn of debt, the stub is a high-beta option on that sequence being executed, not a claim on a stable operating business.

Market cap: US\$0.51-0.67bn (see Verification Log)	Share price: US\$9.92-13.23 (6-13 Aug 2026 prints)
Revenue (TTM to Q2 2026): US\$957.2m, -4.3% y/y	Revenue (FY2025): US\$975.8m gross of excise taxes
Non-GAAP gross margin: 47.0% (Q2 2026); 44.4% a year ago	GAAP gross margin: 24.5% (Q2 2026); 13.6% a year ago
Adj. EBITDA margin: 30.2% (Q2 2026), incl. T-Mobile payments	Reported EBITDA margin: 19.6% (Q2 2026), excl. T-Mobile
Guidance: 6-8% revenue growth, ~200bps margin p.a.	Guidance basis: Multi-year; explicitly not quarterly or annual
Total debt / net debt: US\$2,340m / US\$1,971m (30 Jun 2026)	Net leverage: 6.23x as reported; ~10.3x ex-T-Mobile
Diluted share count: 48.4m weighted; 51.2m issued	Dividend: US\$0.02/qtr, cut ~98% from US\$1.01
Headcount: 1,682, down 207 y/y	HQ: 2450 N Street NW, Washington, D.C.

What the market is arguing about. The bull case is arithmetic: 14 data centres representing about 55 megawatts, valued at the price I Squared Capital actually paid in June, are worth roughly US\$230m against a market capitalisation of US\$0.5-0.7bn; 22.6m unleased IPv4 addresses sit behind that; and integration costs disappear by year-end. The bear case is also arithmetic: free cash flow is already negative by approximately US\$96m before the T-Mobile payments stop, revenue has declined for twelve consecutive quarters, and the two segments that make up 54% of revenue are shrinking at 9.6% and 26% respectively with management stating the office market will not recover. Both cases are internally consistent. The report that follows is built to identify which one the next four quarters will resolve, and on what evidence.

2 TECHNOLOGY DEEP-DIVE

ELI5 — What a Tier-1 backbone actually is

Imagine the internet as a global postal system made up of roughly 75,000 independent regional post offices, each run by a different company. Most of them cannot reach every address in the world on their own, so they pay a bigger carrier to take their mail the rest of the way. A Tier-1 carrier is one of the handful that can reach every address without paying anyone — they simply swap mail with each other for free. Cogent is one of those. It has 22 free-swap partners and 7,550 post offices that pay it. Because it pays nobody for reach, its cost of delivering a letter is close to the cost of the electricity in its sorting machines, which is why it can undercut everyone else on price.

Technically: the internet is a mesh of roughly 75,000 Autonomous Systems (AS), each a network under one administrative routing policy, exchanging reachability information via the Border Gateway Protocol (BGP). An AS obtains global reach either by buying transit — paying an upstream network to carry traffic to destinations it cannot reach itself — or by peering, a settlement-free exchange in which two networks swap traffic destined for each other's customers at no charge. A Tier-1 network is definitionally one that reaches the entire default-free routing table without purchasing transit from anyone. Cogent operates AS174. At 30 June 2026 it was directly connected to 7,572 networks, of which 22 were settlement-free peers and 7,550 were paying transit customers. That ratio is the economic core of the business: Cogent's cost of goods sold for global reach is zero, so the marginal cost of carrying an additional bit is the amortised cost of an already-installed router port and the power to run it. Management states the IP network is approximately 27% utilised, which means roughly three-quarters of installed capacity can be sold with no incremental capital.

ELI5 — Why a wavelength is a different product from IP transit

A fibre is a glass pipe that carries light. Rather than sending one colour down it, you send about eighty slightly different colours at once, and a prism at the far end separates them again. Each colour is a private lane that nobody else touches. IP transit is a shared motorway — you merge into traffic and your journey time depends on everyone else. A wavelength is a private lane rented end to end: same road, but yours alone, with a journey time you can predict to the microsecond. AI training clusters care intensely about that predictability, which is why they buy lanes rather than motorway access.

Technically: Cogent's wavelength product is a Layer 1 service delivered over Dense Wavelength Division Multiplexing (DWDM). A single fibre pair carries on the order of 80 to 96 optical channels spaced on the ITU grid within the C-band, approximately 1530 to 1565 nanometres. Each channel is generated by a coherent optical transponder using digital signal processing and higher-order modulation to carry 100 Gbps or 400 Gbps per channel. Cogent sells one such channel, end to end, as a dedicated circuit. There is no routing, no packet contention and no shared queue, so latency is deterministic and set by the physical path length and the speed of light in silica — roughly two thirds of c , or about 5 microseconds per kilometre. This is why route uniqueness matters commercially: a buyer purchasing diversity needs a second path that does not share conduit with the first, and management states that 90% of Cogent's routes are unique to Cogent.

ELI5 — Why leasing IPv4 addresses is a real business

Internet addresses work like phone numbers. The original numbering plan, IPv4, has about 4.3 billion numbers and the world ran out of unallocated ones in 2011. The replacement plan, IPv6, has effectively unlimited numbers, but a great deal of the internet still cannot dial it, so the old numbers stayed valuable. Cogent inherited an enormous block of them from Sprint, a network built when addresses were handed out almost for free. It now rents them out by the month. It is a landlord holding a large portfolio of apartments in a city that has stopped issuing building permits — and it is currently renting out only four of every ten.

Technically: IPv4 uses 32-bit addresses, giving 2^{32} or approximately 4.29 billion unique values, of which a substantial portion is reserved. The Regional Internet Registries exhausted their free pools between 2011

and 2019, after which addresses could only be obtained through transfer or lease. IPv6 uses 128-bit addresses and solves the scarcity permanently, but adoption is incomplete and any service that must be reachable by IPv4-only clients still requires an IPv4 address. Cogent holds title to 37.8m IPv4 addresses and had approximately 15.2m leased as of the Q2 2026 call, a lease-up rate of about 40%. The lease price has been stable at US\$0.40 per address per month for several quarters, producing US\$18.1m of revenue in Q2 2026, up 18.1% year on year. The asset is carried at US\$458.0m as an intangible, and Cogent has issued US\$380.4m of secured notes against it. Every additional 1m addresses leased at the current price adds approximately US\$4.8m of annual revenue at close to 100% incremental margin.

Product portfolio

Product line	Key specifications	Q2 2026 economics	Competes against
On-net IP transit	Layer 3 dedicated internet access over Cogent-owned fibre into 3,627 buildings; 100 Mbps to 400 Gbps ports; billed on 95th-percentile peak of the higher direction	US\$135.4m rev (57% of total); 88,013 connections; ARPU US\$513/mo; churn 1.3%/mo	Lumen, Arelion (AS1299), Hurricane Electric, Zayo, regional Tier-2 ISPs
Off-net IP transit	Same Layer 3 service where the final mile is carried on a third-party circuit; fibre-only, Cogent does not resell copper	US\$84.5m rev (35.9%); 23,033 connections, -12.2% y/y; ARPU US\$1,197/mo; churn 2.3%/mo	Lumen, Comcast Business, Spectrum Enterprise, Uniti Solutions
Optical wavelengths	Layer 1 DWDM circuits at 10G, 100G and 400G; 1,137 wave-enabled locations across US, Canada and Mexico; ~30-day provisioning interval	US\$14.8m rev, +63.8% y/y; 2,445 connections; ARPU US\$2,100/mo, new waves US\$2,206; churn 0.5%/mo	Lumen, Zayo, Arelion, Uniti Wholesale, Crown Castle Fiber
IPv4 address leasing	Title to 37.8m addresses; ~15.2m leased; priced at US\$0.40 per address per month; delivered as an attachment to on-net service	US\$18.1m rev (inside on-net), +18.1% y/y; 15.22m addresses billed; ~40% lease-up	IPv4 brokers, RIR transfer market, Amazon and other large holders leasing surplus
Ethernet transport / VPLS	Layer 2 private connectivity in point-to-point, point-to-multipoint, hub-and-spoke and full mesh topologies; IPv6 and MPLS enabled	Not separately disclosed; sits inside on-net and off-net lines	Lumen, Zayo, regional metro Ethernet providers
Colocation	172 Cogent data centres (88 core, 84 edge); ~155 MW installed and available power; over 1.5m square feet; converted from Sprint DC to AC power	Not separately disclosed; 24 sites earmarked for divestment, 10 already sold	Equinix, Digital Realty, regional colocation operators (being exited, not defended)

Why this cycle changes the demand profile

The intensity shift is measurable at the connection level. A wavelength connection carries an ARPU of US\$2,100 per month against US\$513 for an on-net IP transit connection — a 4.1x uplift per customer connection on the same underlying fibre, and 1.75x the US\$1,197 ARPU of an off-net IP connection. New wavelengths installed in Q2 2026 came in at US\$2,206, above the installed base, and 77 existing circuits were reprovisioned to higher capacity during the quarter, mostly from 100G to 400G. Wavelength churn runs at 0.5% per month against 1.3% for on-net IP and 2.3% for off-net. So the AI transport cycle does three things at once for Cogent: it raises revenue per connection roughly fourfold, it raises revenue per connection again on upgrade, and it lowers churn by a factor of two to four. That is the structural case, and it is why the wavelength line carries the equity narrative despite being only 6.3% of revenue.

The second shift is subtler and management flagged it explicitly on the Q2 2026 call. Cogent bills IP transit on the 95th percentile of peak utilisation in the higher of the two directions, inbound or outbound. Historically the internet was profoundly asymmetric: access networks received far more than they sent, content networks sent far more than they received, and the lighter direction was effectively free capacity that generated no revenue. Agentic and inference workloads reverse this. End users now upload substantial context, documents and media, so access networks send more; inference providers now receive substantial payloads, so content networks receive more. As traffic becomes more symmetric, the previously free

direction begins to set the billable peak on a growing share of ports. Management is careful to say this does not convert to revenue immediately, and it is right — but the direction of the effect is favourable and it is structural rather than cyclical, because it follows from how inference works rather than from a demand cycle.

The third point is the one that cuts against the thesis, and it needs to be stated with the same precision. Volume is growing and price is falling faster. IP traffic grew 16% year on year in Q2 2026 and 3% sequentially in what is seasonally the weakest quarter, an acceleration from 14% year on year in Q1. Over the same period the average price per megabit on the installed base fell from US\$0.17 to US\$0.11, a decline of 35%, and the price on new contracts fell from US\$0.08 to US\$0.06, a decline of 25%. Reported net-centric revenue nonetheless grew 10.4% year on year to US\$107.4m. Decomposing that increase of roughly US\$10.1m against the disclosed line items, wavelengths contributed about US\$5.8m and IPv4 leasing about US\$2.8m, which leaves roughly US\$1.6m — about 2% growth — attributable to core IP transit itself. Cogent does not publish a full segment bridge so this decomposition is an estimate, but the direction is not ambiguous. The Tier-1 transit franchise is the moat and the cost advantage; it is not currently the growth engine.

3 SUPPLY CHAIN MAPPING

ELI5 — What a network operator actually buys

A backbone operator does not manufacture anything. It buys three things: glass in the ground, boxes to put light into the glass, and permission to cross other people's property. The glass is either owned outright or rented for twenty years at a time. The boxes come from a very small number of vendors and have been getting more expensive very quickly. The permission — municipal rights of way, railroad crossings, agreements with landlords to run cable up the riser of an office tower — takes decades to accumulate and cannot be bought in a hurry. That last category is the part competitors cannot replicate, and it is also the part that is invisible on the balance sheet.

Input	Supplier / source	Scale and terms	Concentration and risk assessment
IP routers and switches	Cisco Systems (confirmed); a second primary vendor referenced by management but not named in public materials	Company documentation states the network is predominantly comprised of Cisco routers; relationship dates to a US\$280m turnkey contract in 2000 and a US\$409m Cisco Capital facility in 2001	HIGH. Effectively single-vendor in Layer 3. Cogent's own risk factors cite reliance on a few equipment vendors and the potential for hardware or software problems with that equipment. A vendor defect or supply stoppage has no rapid substitute at this level of standardisation.
Optical transport / DWDM	Not named in reviewed public sources; management refers to two primary equipment vendors in aggregate	Coherent transponders and line systems supporting 10G, 100G and 400G channels across 1,137 wave-enabled locations	HIGH but unquantified. This is the equipment that gates wavelength provisioning, and provisioning speed is the product's principal differentiator. Vendor identity should be confirmed from the FY2025 Form 10-K before sizing this exposure.
Equipment pricing	Same two vendors; industry-wide constraint driven by AI infrastructure demand	Management disclosed five price increases from one vendor in the first five months of 2026 and three from the other; the rate moderated to one increase in the subsequent three months	ACTIVE. This is the sharpest input-cost datapoint the company has disclosed. It flows directly into capex, which was US\$38.5m in Q2 2026, down 16.7% sequentially and 31.4% year on year — achieved despite the increases, through deployment efficiency.
Owned intercity fibre	Acquired with the Sprint Wireline business, 1 May 2023	21,883 intercity route miles and 1,704 metro route miles owned outright; management states 90% of routes are unique to Cogent	LOW. This is the asset that converted Cogent from reseller to owner and it is the source of the diversity premium in wavelengths. Not exposed to renewal risk.

Input	Supplier / source	Scale and terms	Concentration and risk assessment
Leased fibre (IRUs)	Third-party carriers, in many cases the same companies Cogent competes with in wavelengths	72,884 leased intercity route miles, 33,154 leased metro route miles, 98,135 leased metro fibre miles; capitalised as US\$630.2m of finance lease obligations	STRUCTURAL CONFLICT. Management stated on the Q2 2026 call that leased routes often come from wavelength competitors and that reliability on those routes is materially below owned routes. Cogent buys a critical input from its competitors, who set both its cost and its service quality on those segments.
Rights of way and building access	Municipalities, utilities, railroads, and landlords of 1,867 multi-tenant office buildings	In-building riser infrastructure across 1.02bn square feet of on-net office space; 1,588 carrier-neutral data centre buildings	MODERATE. Loss of key right-of-way agreements is a named risk factor. Individually small, collectively irreplaceable — a new entrant cannot assemble this footprint at any price in a reasonable timeframe.
Power	Local utilities at 172 Cogent data centre sites	Approximately 155 MW installed and available; roughly US\$100m of capex was spent over four quarters converting acquired Sprint facilities from DC to AC power	MODERATE and being divested. Power availability is simultaneously the constraint stopping Cogent's own wavelength customers from accepting circuits, and the attribute that gives the held-for-sale data centres their value to infrastructure buyers.
IPv4 addresses	Inherited from the Sprint acquisition; no primary source exists	37.8m addresses held; the Regional Internet Registry free pools were exhausted between 2011 and 2019	NONE — but note the inverse. There is no supply risk because there is no supply. The risk is demand-side: accelerating IPv6 adoption would erode the lease rate, which has been flat at US\$0.40 for several quarters.

Geographic exposure is modest but not trivial. Approximately 21% of Q2 2026 revenue was earned outside the United States, principally in euro and Canadian dollar denominations, and the company guided to a negative US\$0.3m sequential and negative US\$0.8m year-on-year translation impact for Q3 2026 at prevailing rates. There is no manufacturing exposure, no tariff exposure of consequence, and no dependence on a single geography for inputs. The genuine geographic risk is the reverse: Cogent serves 308 markets in 58 countries off a cost base that is largely fixed, so the operating leverage that works in its favour on volume works against it on any market it cannot exit cleanly.

4 COMPETITIVE LANDSCAPE

ELI5 — Why market share is hard to state here

Cogent competes in three different races at once and is a very different runner in each. In wholesale internet transit it is arguably the biggest player in the world. In long-haul private circuits it has, by its own admission, three percent of the North American market. In colocation it is a seller, not a competitor. Any single share figure for Cogent would therefore be meaningless. The table below gives each competitor's revenue and a like-for-like comparison point in whichever race it actually runs against Cogent.

Company	HQ	Revenue	Position vs Cogent	Key differentiator	Weakness vs Cogent
Cogent (subject)	Washington DC	US\$957.2m TTM, -4.3% y/y	7,572 directly connected networks, 22 settlement-free peers; 3% of North American long-haul wavelength market by management's own statement	Tier-1 status with zero transit cost; 27% network utilisation; ~30-day wavelength provisioning; 37.8m IPv4 addresses	n/a
Lumen Technologies (LUMN)	Denver, CO	US\$12.1bn TTM, -6.8% y/y; Q2 2026 revenue US\$2.81bn	12.6x Cogent's revenue; the incumbent in US enterprise transport and the reference price setter in wavelengths	Scale, hyperscaler dark fibre contracts, and a 2026 adjusted EBITDA outlook above US\$3.5bn after selling its consumer fibre business to AT&T for US\$5.75bn	Revenue declining faster than Cogent's on a much larger base; roughly US\$17-19bn of debt; a multi-year US\$1bn cost programme still in flight; far higher cost per bit

Company	HQ	Revenue	Position vs Cogent	Key differentiator	Weakness vs Cogent
Zayo Group (private)	Boulder, CO	Approx. US\$2.7bn (est., private)	Roughly 2.8x Cogent's revenue; the closest pure-play comparator in long-haul and metro wavelengths and dark fibre	Dense metro fibre combined with long-haul, sold as dark fibre and waves to hyperscalers; sponsor-owned so able to invest through cycle without public earnings pressure	No Tier-1 IP transit franchise and therefore no zero-cost reach advantage; no IPv4 estate; private-equity leverage; no public disclosure for benchmarking
Arelion (private, ex-Telia Carrier)	Stockholm, Sweden	Not separately disclosed	The single closest analogue to Cogent's actual franchise: a Tier-1 IP backbone (AS1299) competing directly for global transit	Consistently ranked at or near the top of independent IP backbone route-reach rankings; strong European and transatlantic position	Materially smaller North American on-net building footprint; no colocation estate; no IPv4 block of comparable scale; cannot match Cogent's US metro reach
Uniti Group (UNIT)	Little Rock, AR	FY2026 guided US\$3.63-3.68bn; Q2 2026 US\$909.7m	3.8x Cogent's revenue but a different mix; only the Fiber Infrastructure segment (US\$234.1m in Q2 2026) competes directly	Post-Windstream merger scale; record Fiber Infrastructure bookings of ~US\$2.2m monthly recurring revenue in Q2 2026; blended cost of debt cut ~600bps over three years to ~6.5%	Majority of revenue is consumer fibre (Kinetic) and legacy services, not wholesale transport; not a Tier-1 IP network; US\$11.1bn of debt against US\$1.45-1.50bn of guided EBITDA
Hurricane Electric (private)	Fremont, CA	Not disclosed	Direct Tier-1 IP transit competitor and the other well-known price aggressor in the market	Extremely aggressive transit pricing and one of the largest IPv6 deployments globally; very low cost structure	Far smaller; no wavelength product, no colocation estate at scale, no enterprise building footprint; competes on price alone in one of Cogent's four product lines

The moat

- Settlement-free peering status. Cogent maintains 22 settlement-free peering relationships against 7,550 paying transit customers. Tier-1 status is granted by the willingness of other Tier-1 networks to peer, not by capital, and it is the reason Cogent's cost of global reach is zero. A new entrant must buy transit and therefore cannot structurally undercut Cogent on price.
- Owned unique fibre routes. 21,883 owned intercity route miles with management stating 90% route uniqueness. Diversity buyers pay a premium specifically for a second path that shares no conduit with the first, and unique routes are the only way to supply that.
- In-building footprint. 3,627 on-net buildings including 1,867 multi-tenant offices representing 1.02bn square feet, plus 1,588 carrier-neutral data centre buildings. Each requires a separate landlord agreement and riser build. This took twenty-five years and cannot be compressed.
- The IPv4 estate. 37.8m addresses with no primary supply available at any price. Roughly 22.6m remain unleased, representing an unexercised revenue option of approximately US\$108m annually at the current US\$0.40 monthly rate.
- Marginal cost position. At approximately 27% network utilisation, Cogent can absorb large volume increases with essentially no incremental capital, which is why traffic can grow 16% while capex falls 31%.

The most credible threat

The threat is not that a competitor takes transit share from Cogent. It is that the transit market itself deflates faster than Cogent can grow into it, while the adjacent market Cogent is counting on to compensate is being captured one layer below where Cogent sells. Price per megabit on the installed base fell 35% year on year against 16% traffic growth; that is a shrinking revenue pool regardless of who wins share, and Cogent's own 27% utilisation gives every competitor the same incentive to price marginal capacity toward zero. Meanwhile the largest AI transport requirements are increasingly being met by hyperscalers and the largest

neoclouds buying or building dark fibre and lighting it with their own transponders, which removes the requirement from the wavelength market entirely before it becomes an order. Lumen's hyperscaler dark fibre contracts are the visible instance of this: those deals convert transport demand into a fibre lease, and Cogent has consistently declined to build capital-intensive laterals into single-tenant facilities, preferring to have the customer supply a dark fibre extension back to a carrier-neutral site. That discipline protects returns on capital and it is the correct decision for a levered company, but it also means Cogent is structurally absent from the largest and most strategic transactions in its own growth market. The 25% wavelength share target has to be achieved in the tier below the hyperscalers.

5 MANAGEMENT & GOVERNANCE

ELI5 – Why the CEO's private property portfolio matters to this stock

For roughly a decade the founder took no salary. He was paid almost entirely in shares and in the dividends those shares produced. Separately, he built a large private portfolio of office buildings in Washington DC. To pay the tax bills on his vesting shares, he borrowed against them. When offices lost half their value after 2022 and the shares fell too, his lenders called the loans and sold the collateral. Over 2025 he gave up roughly 84% of his stake in the company he founded, most of it involuntarily. Nothing about that was a statement on Cogent's prospects – but the founder who used to own about nine percent of the company now owns very little, and that changes who the shareholder is aligned with.

Executive	Tenure and background	Assessment
Dave Schaeffer – Founder, Chairman and Chief Executive Officer	Founded Cogent in August 1999 and has been CEO for 27 years; also serves as Chairman. Built the company through a series of acquisitions of distressed networks and assets. Took no salary for approximately a decade, drawing compensation through equity awards and dividends.	Exceptional operator, unreliable forecaster. The cost and network execution is genuinely strong – 11 sequential quarters of EBITDA growth out of 12 against continuously falling revenue is unusual. The forecasting record is poor and is now the subject of litigation.
Tad Weed – Chief Financial Officer	Long-tenured CFO; presents the detailed operating and leverage disclosure on every call, including ARPU, churn, price per megabit, indenture ratios and DSO at a level of granularity well above sector norms.	Continuity and disclosure quality are a genuine positive. The company's operational transparency is materially better than its peers', which is partly why its problems are visible and theirs are not.

Capital allocation record

- The Sprint Wireline acquisition, closed 1 May 2023, is the defining decision. Headline price was one dollar, with T-Mobile committing US\$700m of IP transit payments. Three years on, the verdict is genuinely mixed. Cogent acquired 21,883 owned intercity route miles, a wavelength franchise it did not previously have, and 125 facilities of which 24 were earmarked for sale. Against that, the acquired revenue base has fallen 71% from US\$118m to US\$34m per quarter, consolidated revenue has now declined for twelve consecutive quarters, and gross leverage went from comfortable to 8.0x.
- Integration synergies were delivered and exceeded. The original target of US\$220m of direct cost savings was raised to US\$240m, and management stated at Q1 2026 that less than US\$20m of annualised run-rate cost remained. Monthly integration spend fell from about US\$5m to about US\$3m by Q1 2026 and was cut faster in Q2. This part of the plan worked.
- The dividend was maintained on borrowed money and then cut 98%. Before the cut Cogent was paying roughly US\$49m per quarter, close to US\$196m annually, against negative free cash flow. Quarterly dividends paid fell from US\$49.1m in Q1 2025 to US\$1.3m in Q1 2026 and US\$2.3m in Q2 2026. The twelve-year record of consecutive increases ended. Cutting was correct; maintaining it as long as it was maintained was not.

- Debt repurchase has replaced buybacks, appropriately. A US\$100m repurchase authorisation was in place and US\$11.5m of stock was bought in Q2 2025, but no shares were repurchased in Q2 2026. Instead Cogent bought back US\$138.8m par of its 2032 secured notes through 31 July 2026 at an average of 90.348, for a cumulative gain of US\$13.4m. With the stub this thin and leverage this high, retiring debt below par is the correct use of asset sale proceeds.
- Capital discipline on the wavelength build has been maintained under pressure. Management has declined to build laterals into single-tenant data centres and corporate sites, requiring the customer to supply dark fibre back to a carrier-neutral facility. This limits addressable opportunities but protects incremental return on capital.

Insider ownership, recent transactions and governance flags

Schaeffer's economic stake fell from approximately 9% to approximately 1.4% during 2025. As of March 2025 roughly 60% of his holding was pledged against personal loans, above the 50% ceiling specified in Cogent's own pledging policy, which applies except in exceptional circumstances. In August 2025, following the post-earnings share price decline, JPMorgan and Royal Bank of Canada seized and sold approximately US\$82.5m of pledged shares after a margin call. Public reporting records disposals of 1,840,669 shares on 7 August 2025 at an average of US\$32.60 and 818,909 shares the following day at US\$27.50, against earlier 2025 sales in the US\$46-49 range. Schaeffer described the sales as made under duress and largely involuntary, and attributed them to his personal portfolio of 42 Washington-area office buildings, whose value he said had fallen from roughly US\$1.1bn to roughly US\$500m since 2022.

- Combined Chairman and Chief Executive. No separation of the two roles at a company undergoing a levered restructuring with an active securities class action.
- Pledging policy breached. Approximately 60% of the founder's stake was pledged against a stated 50% policy cap, and the resulting foreclosure was itself a market event.
- Founder alignment substantially removed. A CEO holding roughly 1-2% has materially different incentives from one holding 9%, particularly on decisions that trade equity dilution against balance sheet repair.
- Securities class action outstanding. Class period 29 February 2024 to 1 May 2026; lead plaintiff deadline 21 September 2026. Allegations centre on whether the optical wavelength backlog metric was represented as convertible to revenue when a substantial portion of it was not, on dividend sustainability disclosure, and on whether pledged-share foreclosure risk was adequately disclosed. No reserve has been disclosed.
- Withdrawal of a key disclosure metric. Management confirmed on the Q2 2026 call that it no longer discloses the wavelength backlog. That metric is central to the litigation, so the withdrawal is defensible; it nonetheless removes the only external check on the growth narrative.
- Customer concentration is not a concern. The top 25 customers represented 16% of Q2 2026 revenue, which is genuinely low for the sector, and bad debt was 0.6% of revenue with DSO of 29 days.

Assessment. Competent, credible on operations and cost, not credible on growth guidance, and structurally less aligned than at any point in the company's history. Management has reiterated 6-8% revenue growth and roughly 200 basis points of annual EBITDA margin expansion through twelve consecutive quarters of revenue decline, while carefully framing those targets as multi-year and explicitly not annual or quarterly. That framing is honest but it also makes the guidance unfalsifiable, and an unfalsifiable target should carry no weight in a model. Underwrite the cost execution and the asset sales, which have a track record; do not underwrite the revenue target.

6

FINANCIAL TRAJECTORY

US\$m unless stated	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Service revenue	247.0	246.2	241.9	240.5	239.2	235.6
On-net (ex-wave)	129.6	132.3	135.3	134.3	135.6	135.4
Off-net	107.3	102.2	95.1	92.9	89.0	84.5
Wavelength	7.1	9.1	10.2	12.1	13.6	14.8
Non-core	3.0	2.7	1.4	1.2	1.0	0.9
IPv4 (within on-net)	14.4	15.3	17.5	17.3	18.0	18.1
Corporate revenue	110.7	109.0	105.2	102.8	101.0	98.6
Net-centric revenue	92.6	97.3	100.3	103.4	105.8	107.4
Enterprise revenue	43.7	39.9	36.5	34.3	32.4	29.5
GAAP gross margin	13.6%	13.6%	20.6%	22.3%	23.4%	24.5%
Non-GAAP gross margin	44.6%	44.4%	45.8%	46.8%	46.1%	47.0%
SG&A	66.3	60.8	62.1	60.7	65.1	64.6
D&A	76.0	75.3	60.4	58.4	54.1	53.0
Operating income (loss)	(40.3)	(31.5)	(18.1)	(11.3)	(13.5)	118.9
Interest expense	34.0	48.7	43.1	54.1	47.9	43.8
Net income (loss)	(52.0)	(57.8)	(41.5)	(30.8)	(39.5)	66.6
Diluted EPS (US\$)	(1.09)	(1.21)	(0.87)	(0.64)	(0.83)	1.38
EBITDA (reported)	43.8	48.5	48.8	51.7	45.2	46.1
T-Mobile cash payments	25.0	25.0	25.0	25.0	25.0	25.0
EBITDA, as adjusted	68.8	73.5	73.8	76.7	70.2	71.1
Adj. EBITDA margin	27.8%	29.8%	30.5%	31.9%	29.3%	30.2%
Operating cash flow	36.4	(44.0)	3.1	(6.0)	14.8	3.2
Capital expenditure	58.1	56.2	36.3	37.0	46.2	38.5
Finance lease principal	8.0	8.5	8.8	8.5	13.4	9.7
Dividends paid	49.1	49.6	49.1	2.3	1.3	2.3
Net leverage (as reported)	5.21x	6.61x	6.65x	6.64x	6.79x	6.23x
Total customer connections	120,731	118,730	118,279	117,643	116,809	115,839
Wavelength connections	1,322	1,469	1,750	2,064	2,263	2,445
Total employees	1,899	1,889	1,882	1,833	1,795	1,682
Quota-bearing sales force	629	628	617	590	568	506

Reading the table. The single most important row is the gap between reported EBITDA and EBITDA as adjusted. It is exactly US\$25.0m every quarter and it is the T-Mobile IP Transit Services Agreement payment, not an operating result. On a trailing twelve month basis to Q2 2026, reported EBITDA is US\$191.8m and adjusted EBITDA is US\$291.8m. Net debt of US\$1,970.5m against the adjusted figure is 6.75x; against the reported figure it is 10.27x. Management's headline 6.23x is lower still because it additionally nets out the US\$151.5m receivable due from T-Mobile. All three numbers are correct under their own definitions and the company discloses all three inputs; but only one of them describes the leverage that will exist in 2028.

The second point is that the margin improvement is real and is not an artefact. Non-GAAP gross margin rose from 44.6% to 47.0% over six quarters while revenue fell 4.6%, driven by the mix rotation from off-net to on-net. Off-net revenue has fallen from US\$107.3m to US\$84.5m, a decline of 21%, and on-net including

wavelengths has risen to 63.8% of revenue from 57.4% a year ago and 47% at the Sprint closing. Because off-net carries a third-party circuit cost and on-net does not, this rotation is directly accretive to gross margin, and 82% of Q2 2026 sales were on-net. The deliberate destruction of low-margin off-net revenue is a feature of the strategy, which is why revenue decline and margin expansion have coexisted for three years.

Free cash flow is negative before the cliff, and this is the number that governs the equity. Taking trailing twelve month adjusted EBITDA of US\$291.8m, deducting capex of US\$158.1m, finance lease principal of US\$40.3m and interest expense of US\$189.0m gives approximately negative US\$95.6m. Excluding the T-Mobile payments entirely, the same calculation gives approximately negative US\$195.6m. Interest expense here is the GAAP figure and includes non-cash components, so this is an approximation rather than a cash bridge, but the sign and the order of magnitude are not in doubt and are consistent with third-party estimates of trailing levered free cash flow around negative US\$208m. Cogent has funded this gap through asset sales and debt issuance, not operations.

Balance sheet items that matter

- US\$750m of senior unsecured 2027 notes moved into current liabilities at 30 June 2026, taking total current liabilities from US\$220.8m to US\$959.6m. The make-whole period ended 15 June 2026. Refinancing was guided to complete in Q3 2026.
- Total debt of US\$2,340.2m comprises US\$750m unsecured 2027 notes, US\$579.6m of 2032 secured notes (reduced to US\$461.2m after July repurchases), US\$380.4m of secured IPv4 notes, and US\$630.2m of finance lease obligations representing capitalised fibre rights.
- Cash and restricted cash of US\$369.7m, of which US\$147.6m was restricted at quarter end under the supplemental indenture commitment to apply at least US\$175m of data centre proceeds to debt repurchase. That restricted balance fell to US\$29.2m by 31 July 2026 after further note purchases.
- Stockholders' deficit of negative US\$34.1m, improved from negative US\$63.8m at December 2025 solely because of the US\$130.7m gain on the data centre sale. Book equity is not a support level.
- The June 2026 supplemental indenture raised the maximum secured leverage ratio from 4.00x to 4.75x in exchange for the commitment to apply US\$175m of proceeds to debt repurchase. Secured leverage under the indenture was 3.67x at Q2 2026, so the covenant is not currently binding, but the amendment was necessary to permit the unsecured-to-secured refinancing.
- Deferred income tax liabilities of US\$333.9m and a North American net operating loss inventory that management says may make it optimal to defer further US data centre sales into early 2027 to shelter the gains.
- No dilution of consequence. Shares issued rose from 50.06m to 51.22m over six months, driven by equity compensation vesting rather than capital raising. There has been no equity issuance.

7 NEAR-TERM CATALYSTS AND RISKS

Catalyst	Timing	Impact	Probability
Completion of the 2027 unsecured note refinancing	Q3 2026 (management-guided)	Removes US\$750m from current liabilities and sets the cost of capital for the rest of the story. Management intends to raise less than the full US\$750m by applying data centre proceeds, and to replace unsecured with secured paper to lower the coupon. The 2032 secured notes trade at a yield to worst of approximately 8.8-8.9%, and benchmark Treasury yields are up nearly a full percentage point since those notes were issued.	High

Catalyst	Timing	Impact	Probability
Sale of some or all of the remaining 14 former Sprint data centres	Q4 2026 to H1 2027; management has signalled North American sales may be deferred to early 2027 to use NOL capacity	Roughly 55 MW remaining. At the US\$4.2m per megawatt achieved with I Squared Capital in June, that implies approximately US\$230m gross. Signed letters of intent exist for four facilities across two LOIs, but management has rejected the prices offered and remains in negotiation. Each US\$100m applied to debt removes roughly 0.34x of net leverage on adjusted EBITDA.	Medium
Elimination of the residual integration cost stub	Q4 2026; management indicated it may beat its year-end 2026 commitment	Less than US\$20m of annualised run-rate remained at Q1 2026 and was cut further in Q2. Removal flows directly to EBITDA. Management guided SG&A down sequentially in both Q3 and Q4 2026 following the 6% headcount reduction taken in Q2, whose severance costs were recognised in the quarter.	High
Wavelength revenue crossing approximately US\$20m per quarter	H1 2027 on current trajectory	Would represent roughly US\$80m annualised and about 4% of the management-implied North American long-haul market, validating the path toward the 25% target and restoring the growth narrative that the backlog withdrawal removed.	Medium
IPv4 lease-up above the current 15.2m addresses	Ongoing	22.6m addresses remain unleased. Each additional 1m leased at the stable US\$0.40 monthly rate adds approximately US\$4.8m of annual revenue at close to 100% incremental margin. Sequential growth stalled at 0.5% in Q2 2026 despite 18.1% year-on-year growth.	Medium
Termination of the T-Mobile IP Transit Services Agreement	Approximately Q4 2027 (contractual)	Removes US\$100m per year of adjusted EBITDA. US\$151.5m net of discount remained receivable at 30 June 2026, roughly eighteen months of payments at US\$8.33m per month. This is not a risk in the probabilistic sense; it is a dated contractual event and the central fact of the investment case.	High (contractual)
Securities class action procedural milestones	Lead plaintiff deadline 21 September 2026; motion practice thereafter	Class period 29 February 2024 to 1 May 2026. Legal cost, management distraction and headline risk. No reserve has been disclosed. Historically these actions resolve over years rather than quarters, so the near-term impact is sentiment rather than cash.	High (procedural)

Key risks

The T-Mobile cliff is the risk that subsumes the others. Under the IP Transit Services Agreement signed at the Sprint closing on 1 May 2023, T-Mobile USA pays Cogent US\$700m in total: US\$350m in equal monthly instalments over the first year, and US\$350m over the subsequent 42 months at US\$8.33m per month. At 30 June 2026 US\$151.5m remained receivable net of discount, roughly eighteen months of payments. Every headline metric Cogent reports is calculated on EBITDA that includes these payments. Trailing twelve month adjusted EBITDA of US\$291.8m becomes US\$191.8m without them; net leverage of 6.75x becomes 10.27x; the approximate free cash flow deficit of US\$96m becomes US\$196m. Management acknowledged the point directly on the Q2 2026 call, stating that inclusive of the payments cash flow is acceptable but excluding them it is challenging, and that since the company is not issuing a two-year instrument it must demonstrate a path to free cash flow without them. That is the correct framing and it is the question the next six quarters must answer.

Refinancing at a materially higher coupon. The US\$750m of unsecured 2027 notes are now a current liability and the make-whole period expired on 15 June 2026. Cogent has been repurchasing its own 2032 secured notes at an average of 90.348 cents on the dollar, which management identified as the indicative cost of capital, implying a yield to worst around 8.8-8.9%. Management stated plainly that Treasury yields on the comparable benchmark are up nearly a full percentage point since those notes were issued and that it is reasonable to expect to pay more. Current interest expense of US\$43.8m per quarter already consumes 62% of adjusted EBITDA, and the indenture fixed charge coverage ratio has deteriorated from 2.80x in Q1 2025 to 2.28x. The mitigation — shrinking the raise using data centre proceeds — works, but it converts the asset sales from deleveraging into refinancing capacity, which is a materially less valuable use of the same dollars.

Wavelength conversion may be a competitive problem disguised as a supply chain problem. Q2 2026 wavelength revenue of US\$14.8m came in below sell-side expectations, and sequential connection growth decelerated to 8.0% from 9.6%. Management attributes the shortfall entirely to customers being unable to accept delivered circuits because of constraints on GPUs, routers, switches, pluggable optics, data centre power and building completion — and offered a specific example of a neocloud in North Dakota with power but no fibre. That explanation is plausible and consistent with what neocloud operators report publicly. The difficulty is that management withdrew the backlog disclosure in 2026, so the explanation is no longer falsifiable from outside. If the binding constraint is instead competitive — Lumen and Zayo taking the large AI transport contracts as dark fibre before they become wavelength orders — then the 25% share target is unreachable and the model's only remaining growth engine is IPv4 leasing, which itself grew 0.5% sequentially.

Price deflation in IP transit outrunning volume growth. Average price per megabit on the installed base fell from US\$0.17 to US\$0.11 year on year, a 35% decline, while new contract pricing fell from US\$0.08 to US\$0.06. Traffic grew 16%. Net-centric revenue nonetheless rose 10.4% to US\$107.4m, but decomposition against the disclosed line items indicates roughly US\$5.8m of that increase came from wavelengths and roughly US\$2.8m from IPv4 leasing, leaving approximately US\$1.6m, or about 2%, from core IP transit. The named competitive pressure is Hurricane Electric and Arelion on price and Lumen on bundled scale, but the deeper issue is structural: at 27% network utilisation Cogent has three quarters of its capacity unsold, and so does everyone else, which is precisely the condition under which marginal pricing collapses toward marginal cost.

The corporate and enterprise book is in structural, not cyclical, decline. Corporate revenue of US\$98.6m fell 9.6% year on year across 41,326 connections, and enterprise revenue of US\$29.5m fell 26% year on year across 8,957 connections, down from 13,641 two years earlier. Together these are 54% of total revenue. Schaeffer stated on the Q2 2026 call that days worked in the office remain at roughly 60% of pre-pandemic levels, that the corporate market has never fully recovered, and that he does not expect it to recover — and that Cogent will not build into smaller or less traffic-rich buildings. Cogent's on-net footprint includes 1,867 multi-tenant office buildings covering 1.02bn square feet, an asset base sized for a demand pattern management itself says is gone. The building count has been flat to falling for six quarters.

The equity is a thin stub and moves violently. A market capitalisation of roughly US\$0.5-0.7bn sits beneath US\$2,340m of total debt and a stockholders' deficit of negative US\$34.1m. Enterprise value is therefore roughly four to five times the equity value, so a 10% change in enterprise value produces a 40-50% change in the equity. This is not a theoretical observation: the stock fell approximately 29% in a single session following the Q1 2026 print on 4 May 2026, and again by a similar magnitude after Q4 2025, and it has traded between US\$9.00 and US\$45.69 over the past twelve months. Position sizing should reflect that the instrument has the volatility characteristics of an option, because structurally that is what it is.

Distribution capacity is being cut while the growth target requires more selling. The quota-bearing sales force fell from 629 to 506 over five quarters, a 20% reduction, with roughly 40% of the Q2 2026 headcount reduction falling on sales. Monthly sales force turnover ran at 7.5% against a 5.7% historical average. Productivity improved to 4.5 units per full-time-equivalent rep per month but remains below the 4.8 long-run average. Management says approximately 500 is the right size and that the reductions targeted underperformers and residual Sprint transition staff, which is credible. The tension is nonetheless real: only 263 reps now focus on net-centric, the segment that sells essentially all wavelengths, and the company is targeting an eightfold increase in wavelength penetration.

8

VALUATION CONTEXT

ELI5 — Why there are two valuations for the same company

If a landlord tells you his building earns 100 a year in rent, but 34 of that is a subsidy cheque from the previous owner that stops in eighteen months, you would not value the building on 100. You would value it on 66 and treat the remaining cheques as cash in the bank. Cogent's headline profit measure includes exactly such a cheque. Below, the same company is shown on both bases. The gap between the two multiples is the entire argument about this stock.

Metric	Cogent (CCOI)	Lumen (LUMN)	Uniti (UNIT)
Headquarters	Washington DC	Denver, CO	Little Rock, AR
Market capitalisation	US\$0.51-0.67bn	Approx. US\$6.8-7.0bn	US\$2.6-2.7bn
Revenue	US\$957.2m TTM to Q2 2026	US\$12.1bn TTM	US\$3.63-3.68bn FY2026 guided
Revenue growth	-4.3% y/y (twelve consecutive quarterly declines)	-6.8% TTM; Q2 2026 revenue ahead of consensus	+10% y/y consolidated fibre revenue in Q2 2026
Net debt	US\$1,971m (US\$1,819m adj. for T-Mobile receivable)	Approx. US\$17-19bn gross debt	US\$11.1bn gross debt, US\$1.13bn cash
EV / EBITDA	8.5-9.0x on adjusted EBITDA of US\$291.8m; 12.9-13.7x on reported EBITDA of US\$191.8m	Approx. 6.4x (Q2 2026, improved from 7.4x in Q1)	Approx. 8.5x on FY2026 guided adj. EBITDA of US\$1.45-1.50bn
P/E	n.m. — TTM earnings driven entirely by the US\$130.7m data centre disposal gain	n.m. — loss-making	n.m. — trailing figure distorted by merger accounting; consensus FY2026 net loss of US\$480-530m
End-market exposure	46% net-centric (content, CDN, cloud, AI), 42% corporate, 12% enterprise; 21% of revenue non-US	Predominantly US large enterprise, government and wholesale; consumer fibre sold to AT&T for US\$5.75bn	Predominantly US consumer fibre (Kinetic) plus wholesale infrastructure and managed solutions
Closest point of overlap	n/a	Enterprise wavelengths and IP transit; Lumen is the reference price setter	Fiber Infrastructure segment only (US\$234.1m in Q2 2026, 26% of Uniti revenue)

Zayo Group is the most relevant comparator for the wavelength franchise and is private, so no trading multiple exists. It is nonetheless the reference point for any transaction case, because a strategic buyer of Cogent's wavelength and fibre assets would be underwriting them against Zayo's footprint rather than against Lumen's or Uniti's.

Bull case

The equity is priced as though the refinancing fails, and it probably does not. Cogent trades at 8.5-9.0x enterprise value to adjusted EBITDA against Uniti at approximately 8.5x on guided EBITDA and Lumen at approximately 6.4x — but unlike either, Cogent holds assets it has already demonstrated it can sell into a bid. Fourteen data centres representing roughly 55 MW, marked at the US\$4.2m per megawatt I Squared Capital actually paid in June, are worth approximately US\$230m against a market capitalisation of US\$0.5-0.7bn — a third to a half of the entire equity value in assets that are held for sale and contribute almost nothing to EBITDA. Behind them sit 22.6m unleased IPv4 addresses, an unexercised annual revenue option of roughly US\$108m at current rates, against which the company has already proved it can raise secured funding at scale. Operationally the case is that the integration stub disappears by year-end 2026, on-net mix passes 70% from 63.8%, the Cogent classic business — up 29% to US\$200m per quarter since the Sprint closing — reasserts itself as the acquired base shrinks below 15% of revenue, and EBITDA margin resumes its path toward the roughly 40% the standalone business earned before the acquisition. On reported EBITDA of US\$250m by 2028, achievable if the US\$20m stub and the US\$84m of Sprint revenue erosion both simply stop, net debt of roughly US\$1.7bn after asset sales is 6.8x rather than 10.3x, and an equity stub this thin re-rates violently off a small base. The credit market's own verdict supports this

reading: the 2032 secured notes trade around 90 cents at a yield to worst of 8.8-8.9%, which prices stress, not default.

Bear case

The equity is an option on refinancing at an acceptable coupon before the subsidy stops, and the option is shorter-dated than it looks. Adjusted EBITDA of US\$291.8m becomes US\$191.8m by contract in late 2027, which takes net leverage from 6.75x to 10.27x on today's balance sheet without a single operational thing going wrong. Free cash flow is already approximately negative US\$96m including the subsidy and negative US\$196m without it, funded to date by asset sales and debt issuance rather than operations, and the asset sales are now being redirected into shrinking the refinancing rather than reducing leverage. Revenue has declined for twelve consecutive quarters; the 54% of it that is corporate and enterprise is shrinking at 9.6% and 26% with management stating the office market will not recover; and the growth engine that carries the entire equity narrative is US\$14.8m a quarter, needs to grow more than eightfold to reach management's own share target, has decelerated sequentially, has lost the disclosure metric that made it verifiable, and sits at the centre of a securities class action. Meanwhile the founder-CEO's alignment has fallen from roughly 9% to roughly 1.4% through forced sales. The de-rating triggers are specific and near: a refinancing coupon above approximately 9.5% on a full US\$750m raise, which adds more than US\$15m of annual interest against already-negative free cash flow; failure to transact the remaining 14 data centres at anything close to US\$4.2m per megawatt, given management has already rejected the LOI prices offered; or a single quarter of sequential adjusted EBITDA decline, which would end the one streak management still points to and remove the last piece of evidence that the cost programme can outrun the revenue erosion.

9

WHAT MOVES IT NEXT — EARNINGS SIGNAL MAP

ELI5 — What this section is for

There are only so many hours to spend reading earnings reports, and most of what is in them does not move anything. This section names, for each company, the single number or event that will actually determine what the stock does at its next report, and how many days away that is. The purpose is triage: if only one of these can be read closely, this table says which one and why.

Company	Next earnings	Days away	The one metric	Why it matters
Cogent (CCOI)	Q3 2026, approx. 5 Nov 2026 (est., from prior-quarter cadence — Q1 reported 4 May, Q2 reported 6 Aug)	83	The coupon and size of the completed 2027 note refinancing, measured against the 2032 secured notes' yield to worst of approximately 8.8-8.9%, and against the full US\$750m face amount.	This is the binary that decides whether CCOI is a going-concern turnaround or a balance sheet trade. Management guided completion in Q3 2026 and intends to raise less than US\$750m using data centre proceeds. A print at or below roughly 9% on a reduced raise validates the deleveraging path and should re-rate an equity stub trading at four to five times its own value in enterprise value. A print above roughly 9.5% on the full amount adds more than US\$15m of annual interest to an already negative free cash flow line and makes the 2027 T-Mobile cliff materially harder to clear. Note that this is likely to be announced by 8-K before the earnings date rather than at it.

Company	Next earnings	Days away	The one metric	Why it matters
Lumen (LUMN)	Q3 2026, approx. 3 Nov 2026 (est.; Q2 reported 4 Aug 2026)	81	Growth in the Grow revenue category, which reached 53% of mix at +14% year on year in Q2 2026, and confirmation that full-year adjusted EBITDA remains above the US\$3.5bn 2026 outlook.	Lumen is the reference price setter in US enterprise wavelengths and the principal winner of hyperscaler dark fibre contracts. If Grow revenue keeps compounding at low-to-mid teens while Cogent's wavelength line decelerates, it supports the bear reading that Cogent's shortfall is competitive rather than supply-constrained. If Lumen's transport growth also stalls, it corroborates management's account that the constraint is industry-wide customer readiness.
Uniti (UNIT)	Q3 2026, approx. 3 Nov 2026 (analyst-expected date, not company-confirmed)	81	Fiber Infrastructure new bookings monthly recurring revenue against the record approximately US\$2.2m set in Q2 2026, and whether the large hyperscaler dark fibre deals management flagged as at risk of slipping from Q4 2026 into early 2027 actually slipped.	This is the cleanest available external test of Cogent's central explanation. Uniti management independently flagged that large fibre deals may slip on permitting and construction timelines. A confirmed slip is direct corroboration that AI transport demand is genuinely constrained by physical readiness rather than by vendor selection, which materially strengthens the case that Cogent's wavelength backlog is real and merely deferred.

Prioritisation. Do not wait for the Q3 print on CCOI. The refinancing is a Q3-guided event that will arrive as an 8-K, most likely weeks before the earnings call, and it carries more information than the quarter itself will — the operating trajectory is already well telegraphed by three consecutive quarters of the same pattern, whereas the coupon is genuinely unknown and genuinely decisive. Set the alert on the filing, not the calendar. Of the scheduled reports, take Uniti on or around 3 November first, ahead of Cogent. Uniti reports before Cogent in most quarters, its Fiber Infrastructure bookings and its commentary on slipping hyperscaler fibre deals are the only independent read available on whether wavelength demand is deferred or lost, and that question is worth more to this position than anything in Cogent's own release. Lumen on the same day is the secondary read and matters mainly as the competitive counterfactual. Cogent's own Q3 report is third in priority: by the time it lands, the refinancing terms and the peer read-across will already have settled the two questions that determine the outcome.

A VERIFICATION LOG

Report: Cogent Communications Holdings (NASDAQ: CCOI) initiation. Companies referenced: 6. Verification date: 14 August 2026. Primary source for all Cogent financial and operational data is the Form 8-K Exhibit 99.1 filed 6 August 2026 and the Q2 2026 earnings call transcript of the same date. Classification: CLEAN — verified against a primary filing or transcript. EST. — derived or estimated by this analysis, method stated. FLAGGED — sources conflict or the figure is unconfirmed.

Claim	Source	Status	Note
Q2 2026 revenue US\$235.6m; all four connection-type splits; corporate, net-centric and enterprise splits	Form 8-K Ex 99.1, 6 Aug 2026	CLEAN	Six-quarter series reproduced directly from the company's Summary of Financial and Operational Results.
EBITDA US\$46.1m; EBITDA as adjusted US\$71.1m; the US\$25.0m quarterly T-Mobile payment	Form 8-K Ex 99.1	CLEAN	The US\$100m annual gap between the two measures is disclosed and reconciled by the company.
Balance sheet: total debt US\$2,340.2m, net debt US\$1,970.5m, cash US\$369.7m, stockholders' deficit US\$(34.1)m, 2027 notes reclassified as current	Form 8-K Ex 99.1 condensed balance sheet	CLEAN	As at 30 June 2026.

Claim	Source	Status	Note
Data centre sale: 10 facilities, US\$225m gross, US\$224.2m net, US\$130.7m gain, buyer I Squared Capital, closed 29 June 2026	Form 8-K Ex 99.1, 29 Jun 2026 and 6 Aug 2026	CLEAN	Facilities located in Phoenix, Anaheim, Burbank, Stockton, Atlanta, Chicago, ElkrIDGE, Kansas City, Nashville and Houston.
Quarterly dividend of US\$0.02 approved 5 Aug 2026; prior-year comparative US\$1.010	Form 8-K Ex 99.1	CLEAN	Dividends declared per share shown as US\$0.02 for Q2 2026 against US\$1.010 for Q2 2025 in the income statement.
2032 notes: US\$138.8m par repurchased through 31 July 2026 at average 90.348, cumulative gain US\$13.4m; balance reduced to US\$461.2m	Form 8-K Ex 99.1 and Q2 2026 call	CLEAN	
ARPU (US\$513 on-net, US\$1,197 off-net, US\$2,100 wave, US\$0.40 IPv4); churn rates; price per megabit US\$0.11 and US\$0.06; 37.8m IPv4 addresses held, ~15.2m leased	Q2 2026 earnings call, CFO remarks	CLEAN	
24 data centres earmarked for monetisation, 10 sold, 14 remaining at approximately 55 MW; transacted price approximately US\$4.2m per megawatt	Q2 2026 earnings call, CEO remarks	CLEAN	CEO also disclosed signed but unaccepted LOIs covering four facilities across two letters.
Long-term targets of 6-8% revenue growth and approximately 200bps of annual EBITDA margin expansion, framed as multi-year and explicitly not quarterly or annual	Q2 2026 earnings call	CLEAN	Reiterated despite twelve consecutive quarters of revenue decline.
Securities class action: class period 29 Feb 2024 to 1 May 2026; lead plaintiff deadline 21 Sep 2026; allegations concern wavelength backlog, dividend sustainability and pledged-share disclosure	Multiple plaintiff firm notices, Jul-Aug 2026	CLEAN	Allegations are unproven. Cogent's response has not been reviewed for this report.
Market capitalisation US\$0.51-0.67bn	Multiple aggregators	FLAGGED	Sources give US\$528.8m at a US\$10.56 price (10 Aug), US\$578.5m at a US\$12.87 close, and US\$669.0m at US\$13.23. Presented as a range. Do not resolve to a single figure — the shares moved more than 25% within the observation window.
FY2025 revenue US\$975.8m	Derived from company quarterly data; conflicts with aggregators	FLAGGED	The company's own quarterly series sums to US\$975.8m. StockAnalysis reports US\$896.6m. The difference of US\$79.2m is exactly the USF and excise taxes Cogent includes within service revenue (US\$20.2m + US\$20.0m + US\$19.2m + US\$19.8m). Aggregator revenue is net of excise; company revenue is gross. Never mix the two bases in a growth calculation.
Trailing EBITDA figures in circulation	CNBC vs company disclosure	FLAGGED	CNBC shows TTM EBITDA of US\$168.3m. The company's own quarterly series gives TTM reported EBITDA of US\$191.8m and TTM adjusted EBITDA of US\$291.8m. Three different figures exist for the same period on three different definitions.
Net leverage of 6.23x as reported versus approximately 10.3x unadjusted	Company disclosure plus derived	FLAGGED	The 6.23x headline is adjusted twice: the numerator nets the US\$151.5m T-Mobile receivable and the denominator includes the US\$100m of T-Mobile payments. Company also discloses 6.75x (net debt / adjusted EBITDA) and 8.02x gross. Net debt over reported EBITDA of US\$191.8m is 10.27x and is derived here, not disclosed.

Claim	Source	Status	Note
Schaeffer's stake falling from approximately 9% to approximately 1.4% during 2025; approximately US\$82.5m of pledged shares seized by JPMorgan and RBC in August 2025	Bloomberg reporting via secondary sources; plaintiff firm filings	FLAGGED	Not verified against a current Form 4 or the latest proxy statement. Directionally reliable and corroborated across several independent outlets; the precise current percentage should be confirmed before it is relied upon.
Second primary equipment vendor for optical transport	Not identified in reviewed sources	FLAGGED	Management refers to two primary equipment vendors and to five and three price increases respectively in 2026. Only Cisco is confirmed in public company documentation. The DWDM vendor should be confirmed from the FY2025 Form 10-K.
Zayo Group revenue of approximately US\$2.7bn	Private company, no filing reviewed	FLAGGED	Directional only. Zayo does not report publicly. Included because it is the most relevant wavelength comparator, not because the figure is reliable.
I Squared Capital's ownership of EXA Infrastructure (the former GTT infrastructure division)	Not re-verified in this cycle	FLAGGED	Referenced only as context on the buyer's sector position; not relied upon in any valuation conclusion.
Decomposition of net-centric growth: approximately US\$5.8m wavelength, US\$2.8m IPv4, US\$1.6m core transit	Derived from disclosed line items	EST.	Cogent does not publish a full segment bridge. Wavelengths are stated to be almost entirely on-net with under 5% enterprise and about 10% corporate, so the allocation to net-centric is an approximation. Direction is robust; the split is not precise.
Implied North American long-haul wavelength market of approximately US\$2.0bn, and approximately US\$494m of revenue at a 25% share	Derived from management's 3% share claim	EST.	US\$14.8m quarterly revenue annualised to US\$59.3m, divided by the 3% share management states. Management-implied and directional only; treat as an upper-bound framing device, not a TAM.
Free cash flow of approximately negative US\$96m TTM, or negative US\$196m excluding T-Mobile	Derived	EST.	Adjusted EBITDA US\$291.8m less capex US\$158.1m, finance lease principal US\$40.3m and GAAP interest expense US\$189.0m. GAAP interest includes non-cash components so this is an approximation. Consistent with third-party trailing levered FCF estimates near negative US\$208m.
Remaining 14 data centres valued at approximately US\$230m	Derived	EST.	Applies the transacted US\$4.2m per megawatt to approximately 55 MW. Management has stated that LOIs received to date were at prices it found unacceptable, and that some remaining sites carry unprovisioned power with contested value. Treat as an anchor, not an expectation.
Unleased IPv4 option value of approximately US\$108m annually	Derived	EST.	22.6m unleased addresses at US\$0.40 per month. Assumes full lease-up at an unchanged price, neither of which is likely; a boundary calculation only.
EV/EBITDA multiples for all three companies	Derived from disparate sources	EST.	Computed on differing EBITDA definitions and non-contemporaneous market caps. Directionally comparable; not precise enough to support a small relative-value judgement.
Next earnings dates for CCOI, LUMN and UNIT	Estimated from prior-quarter cadence	EST.	None company-confirmed at the time of writing. The Uniti date of 3 November 2026 is an analyst expectation. Confirm all three from investor relations before scheduling.

Corrections applied. No company was removed from the comparison set. Two corrections were made during verification. First, the FY2025 revenue figure was initially taken from an aggregator at US\$896.6m and has been restated to US\$975.8m on the company's gross-of-excise basis, with the reconciliation documented above. Second, a widely cited estimate that Cogent's data centre monetisation programme could generate approximately US\$1.5bn of cash has been excluded from this report: the actual transacted price of US\$4.2m per megawatt implies roughly US\$460m for all 24 earmarked sites, and using the larger figure would materially overstate the asset backing to the equity.

B ACRONYM GLOSSARY

Acronym	Full name and meaning
ARPU	Average Revenue Per User (here, per customer connection per month)

Acronym	Full name and meaning
AS	Autonomous System — a network under a single administrative routing policy. Cogent operates AS174
ASP	Average Selling Price
BGP	Border Gateway Protocol — the protocol by which autonomous systems exchange reachability information
CDN	Content Delivery Network
DIA	Dedicated Internet Access
DSO	Days Sales Outstanding
DWDM	Dense Wavelength Division Multiplexing — carrying many optical channels on one fibre at different wavelengths
EBITDA	Earnings Before Interest, Taxes, Depreciation and Amortisation
EV	Enterprise Value — market capitalisation plus net debt
FCF	Free Cash Flow
FX	Foreign Exchange
GAAP	Generally Accepted Accounting Principles (United States)
Gbps / Mbps	Gigabits per second / Megabits per second
GPU	Graphics Processing Unit
IP	Internet Protocol
IPv4 / IPv6	Internet Protocol version 4 (32-bit addressing, approximately 4.29bn addresses, exhausted) and version 6 (128-bit addressing)
IRU	Indefeasible Right of Use — a long-term prepaid right to use fibre capacity, capitalised as a finance lease
ISP	Internet Service Provider
ITU grid	International Telecommunication Union standard channel spacing plan for DWDM wavelengths
LOI	Letter of Intent
LLM	Large Language Model
MPLS	Multiprotocol Label Switching
MRR	Monthly Recurring Revenue
MW	Megawatt (of installed data centre power)
NOL	Net Operating Loss (carryforward, used to shelter taxable gains)
OTT	Over-The-Top (video and media delivered over the public internet)
P/E	Price-to-Earnings ratio
RIR	Regional Internet Registry — the bodies that allocate IP address space
ROIC	Return On Invested Capital
ROW	Right Of Way
SG&A	Selling, General and Administrative expense
SOFR	Secured Overnight Financing Rate
TAM	Total Addressable Market
Tier 1	A network that reaches the entire internet routing table without purchasing transit from any other network
TTM	Trailing Twelve Months
USF	Universal Service Fund — a US regulatory levy collected within service revenue
VPLS	Virtual Private LAN Service — a Layer 2 multipoint Ethernet service
YTW	Yield To Worst

C **DISCLAIMER**

This document is internal buy-side research prepared for institutional investment professionals. It contains no price target, no rating and no recommendation to buy, sell or hold any security, and it should not be construed as investment advice or as an offer or solicitation in respect of any security.

All figures are drawn from public sources, principally the company's SEC filings and earnings call transcripts, and are stated as at 14 August 2026. Figures classified as EST. in the Verification Log are derived by this analysis and are not company-disclosed. Figures classified as FLAGGED reflect conflicting sources or unconfirmed data and should be independently verified before being relied upon. Market capitalisations are presented as ranges where sources diverge; this is deliberate and should not be resolved to a single figure without a live quote.

The securities class action described in this report contains allegations that are unproven. Nothing in this document should be read as a finding or an assertion of fact regarding those allegations, and the company's responses to them have not been reviewed.

Past performance is not indicative of future results. The subject company is highly levered, has negative shareholders' equity and negative free cash flow, and its equity has exhibited multiple single-session drawdowns approaching 30% over the past twelve months. Position sizing should reflect those characteristics.